

Contestant Number: _____

Time: _____

Rank: _____



Personal Financial Management (165)

STATE 2025

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Short Answer (20 @ 3 points each) _____ (60 points)

TOTAL POINTS _____ (*120 points*)

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. What type of mutual fund would be the most likely to purchase a corporate investment-grade bond?
 - A. Equity Fund
 - B. Specialty Fund
 - C. Income Fund
 - D. Index Fund
2. Which bankruptcy chapter will likely erase most debt?
 - A. Chapter 7
 - B. Chapter 11
 - C. Chapter 13
 - D. Chapter 25
3. If a company buys its own stock back, it is known as _____.
 - A. preferred stock.
 - B. common stock.
 - C. treasury stock.
 - D. dividend stock.
4. If you are married with one child, what is the lowest number of allowances you are allowed to claim on your form W4?
 - A. 0
 - B. 1
 - C. 2
 - D. 3
5. Which of the following investments is the most diversified?
 - A. Mutual fund
 - B. Certificate of deposit
 - C. Common stock
 - D. Municipal bond
6. The specified amount of payment required periodically by an insurer to provide coverage is known as a _____.
 - A. deductible.
 - B. coverage.
 - C. policy.
 - D. premium.

7. For income tax purposes, selling a stock for a higher value than you bought it for is known as what?
 - A. Dividends
 - B. Capital gain
 - C. Ordinary income
 - D. Disposable income
8. The amount of an individual's income that is left for spending or saving after personal necessities have been paid is known as _____ income.
 - A. primary
 - B. taxable
 - C. gross
 - D. discretionary
9. Which of the following investments most likely contains the highest amount of risk?
 - A. Mutual Fund
 - B. Municipal Bond
 - C. Certificate of Deposit
 - D. Corporate Stock
10. Which of the following actions would result in an increased credit score?
 - A. Applying for multiple credit cards
 - B. Paying bills after the due date
 - C. Paying off outstanding balances in full on your credit cards
 - D. Buying a car using credit
11. Which type of auto insurance do most states require a motorist to carry?
 - A. Collision
 - B. Uninsured motorist
 - C. Comprehensive
 - D. Liability
12. Which of the following represents a defined-benefit retirement account?
 - A. Pension
 - B. 401 (k)
 - C. IRA
 - D. Social Security
13. The Dow Jones Industrial Average is an index consisting of how many stocks?
 - A. 11
 - B. 30
 - C. 500
 - D. 3,000

14. What is the amount the insured must pay before the insurance company pays on a claim?
- A. Premium
 - B. Deductible
 - C. Reimbursement
 - D. Co-pay
15. What is a mutual fund's NAV?
- A. Composition of the mutual fund.
 - B. Price of one share of the mutual fund.
 - C. Average annual return for the mutual fund.
 - D. Category of the mutual fund.
16. Itemizing deductions on a Federal Tax return is shown on what form?
- A. Schedule A
 - B. Schedule B
 - C. Schedule C
 - D. Schedule D
17. Which retirement account is designed for employees of certain tax-exempt organizations, such as public schools and charitable organizations?
- A. IRA
 - B. Roth IRA
 - C. 401 (k)
 - D. 403 (b)
18. How many compounding periods would a 5-year CD have if interest was compounded quarterly?
- A. 4
 - B. 5
 - C. 12
 - D. 20
19. Errors and omissions insurance for a company providing a service is a type _____ insurance.
- A. professional liability.
 - B. product liability.
 - C. general liability.
 - D. commercial property.
20. A mutual fund that is categorized as small-cap growth would most likely invest in what types of stocks?
- A. Blue chips
 - B. S&P 500
 - C. Russell 2,000
 - D. International

21. A written, signed document that guarantees payment of a certain amount at a certain date is a(n) _____.
A. contract.
B. invoice.
C. promissory note.
D. account payable.
22. Which of the following children cannot be carried on a parent's health insurance plan?
A. 17-year old high school student
B. 22-year old part-time college student
C. 25-year old corporate accountant living on their own
D. 26-year old full-time college student
23. What is the benefit to a debt consolidation loan?
A. Typically you will have a higher interest rate
B. Combining multiple debts into one debt and one payment
C. Forgiveness of part of your debt
D. Longer payback period
24. You have a \$25,000 home equity line of credit, of which you borrow \$10,000 to put on a new roof. Which of the following statements is true?
A. You may borrow unlimited times against your line of credit, so long as you don't borrow more than \$25,000 on any one loan.
B. Regardless of how much you borrow, you will pay interest on the entire \$25,000.
C. You will pay interest on only the \$10,000 borrowed now.
D. When you pay back the \$10,000, your line of credit will increase to \$35,000.
25. What compounding period would earn you the most interest?
A. Monthly
B. Quarterly
C. Annually
D. Continual
26. What is the form that all college students must fill out to receive government aid?
A. Form 1040
B. FAFSA
C. Form W4
D. Student Loan Application
27. If interest rates are low, which type of mortgage is recommended by financial advisors?
A. ARM
B. Fixed-rate
C. Variable-rate
D. Balloon payment

28. How often should you check your free credit report?
- A. Quarterly
 - B. Annually
 - C. Every other year
 - D. Every 5th year
29. Which of the following expenses would be a primary need for a college student?
- A. Textbooks
 - B. Tickets to the soccer game
 - C. 70-inch television
 - D. Door Dash lunch
30. Who insures your stock investments in the market?
- A. SEC
 - B. IRS
 - C. Fed
 - D. Nobody

Part 2 – Short Answer (3 points each)

1. At the beginning of 2025 Malik invests \$2,500 into a four-year Certificate of Deposit that pays 4% interest compounded annually. What will be Malik's investment value at the end of each of the following years?
- 2025 _____
- 2026 _____
- 2027 _____
- 2028 _____
2. Sophia bought 40 shares of an S&P 500 index mutual fund on October 20th, 2024. The NAV for the fund was \$52.00. On October 20th the S&P 500 index was at 5,450. Sophia sells the mutual fund on March 2nd, 2025. The NAV at the time of the sell was \$57.20. The mutual fund had a front load of 2.5%.
- a. How much in total did Sophia pay to purchase the mutual fund? _____
 - b. What was the ROI on the investment, ignoring the load? _____
 - c. How much in total did Sophia receive on the sale of the mutual fund? _____
 - d. If the fund performed as intended, what is the S&P 500 on March 2nd? _____

3. Given the following federal tax brackets, calculate the amount of tax liability each of the following individuals have for the year. Their filing status and taxable income is shown after their name.

Tax Rate	Single Filers Taxable Income	Married Filers Taxable Income
10%	\$0 to \$11,600	\$0 to \$23,200
12%	\$11,601 to \$47,150	\$23,201 to \$94,300
22%	\$47,151 to \$100,525	\$94,301 to \$201,050
20%	\$100,526 to \$191,950	\$201,051 to \$383,900

Emmie – Single \$5,360 _____

Randy – Married \$62,450 _____

Makayla – Married \$182,410 _____

Julian – Single \$42,670 _____

Hana – Single \$110,430 _____

4. Three years out of college Vincent is working in operations with an annual salary of \$67,840, paid on a biweekly pay period. Vincent's company has a 401(k) plan, with up to 6% of your salary withheld each pay period. The company offers a 50% match for the program. Vincent chooses to have 5% of his salary withheld for his 401(k).

- What will be Vincent's annual contribution toward his 401(k)? _____
- How much will Vincent have withheld each pay period? _____
- What will the company match be each pay period? _____

5. Jessica owns 80 shares of Widgets Corporation common stock, which is trading for \$194.30 at the close of trading on March 2nd, 2025. At the beginning of trading on March 3rd, Widgets Corp executes a 2-for-1 stock split. On March 15th, Widgets declares a dividend of \$0.25 per share for all common stockholders.
- a. What is the value of Jessica's investment on March 2nd? _____
 - b. What is the stock price after the split? _____
 - c. What is the value of Jessica's investment after the split? _____
 - d. How much will Jessica receive in dividends? _____